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India's Unified Payments Interface (UPI) has emerged as one of the world's largest digital payment infrastructures, transforming the way individuals and businesses conduct financial transactions. Between 2020 and 2025, UPI witnessed unprecedented growth in transaction volume and value, becoming the dominant mode of retail digital payments in the country. While this expansion is widely regarded as a technological success, an important policy question remains:

To what extent has the rapid expansion of UPI contributed to financial inclusion and formal economic participation among underserved populations in India between 2020 and 2025?

While existing studies primarily examine UPI's technological success and transaction growth, limited research has evaluated whether increased digital payment adoption has translated into meaningful financial inclusion and formal economic participation among underserved populations.

This study employs a descriptive and analytical research design based on secondary data obtained from the Reserve Bank of India (RBI), National Payments Corporation of India (NPCI), World Bank databases, government reports, and existing scholarly literature. The paper examines trends in digital payment adoption, banking access, merchant digitisation, and participation of rural, low-income, and previously underbanked populations in formal financial systems. Particular attention is given to the relationship between UPI adoption and broader indicators of economic inclusion.

Preliminary analysis suggests that UPI has significantly reduced transaction costs, expanded access to digital financial services, and facilitated greater participation of small merchants, informal workers, and first-time users in the formal economy. However, persistent challenges relating to digital literacy, cybersecurity concerns, internet accessibility, and regional disparities continue to limit the inclusiveness of digital financial transformation.

By critically evaluating both the achievements and limitations of India's digital payment revolution, the paper contributes to contemporary debates on financial inclusion, digital governance, and inclusive development. The findings hold important implications for policymakers seeking to leverage financial technology as a tool for equitable economic growth and sustainable development.